Lea Katharina Havemeister

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Education

10/2023 – 09/2027	**Ph.D. in Economics**, King's College, University of Cambridge, UK *Supervisor:* Prof. Chryssi Giannitsarou; *Advisor:* Prof. Elisa Faraglia
08/2021 – 06/2022	**M.Sc. in Economics**, Stockholm School of Economics, Sweden GPA: 4.73/5.00; Data Science Analytics Award; Dual Master's Degree
09/2020 – 07/2021	**M.Sc. in International Economic Policy**, Sciences Po, Paris, France Cum Laude Graduation Award; Dual Master's Degree
10/2017 – 07/2020	**B.Sc. in Philosophy, Politics and Economics**, University of Warwick, UK First Class Honours Degree

Research Fields

Primary: Monetary Policy, Firm Dynamics, International Macroeconomics and Finance
Secondary: Corporate Finance, Expectations and Uncertainty, Panel Data Methods

Job Market Paper

Dead Firms Walking: Financial Distress, Zombies, and Monetary Policy Transmission
[Draft forthcoming]

The recent monetary tightening cycle in the Euro Area has renewed attention to how effectively monetary policy transmits to firm investment, which can substantially differ across firms. Standard proxies for financial constraints often treat financially weak firms as a single group. This paper argues that the nature of financial weakness matters for monetary transmission. I construct a multidimensional measure of financial viability that distinguishes healthy, distressed, and zombie firms. Using balance-sheet data for around 5 million firms across 20 Euro Area countries from 2005 to 2022, I show that contractionary monetary policy shocks reduce investment for healthy and distressed firms. By contrast, zombie firms, despite being financially weakest, exhibit a markedly muted investment response and contract significantly less than both other groups. This divergence is stronger in countries with weaker banking sectors, consistent with banks shielding weak borrowers to avoid recognising losses on existing loans. This muted firm-level response translates into weaker aggregate transmission: a one percentage point higher zombie share dampens the investment response to monetary tightening by approximately half.

Research Papers

Fear the Walking Dead? Zombie Firms in the Euro Area and their Effect on Healthy Firms' Credit Conditions with Kristian Horn. ESRB Working Paper, SUERF Summary, Financial Times Article

Zombie firms may adversely impact healthy firms through several transmission channels. Besides real spillover effects on productivity or investment, zombies may also cause negative financial spillover effects, where zombies receive credit at more favourable conditions than healthy firms. We investigate characteristics of zombie firms in the euro area and whether they cause spillovers on healthy firms' credit conditions, focusing on two variables: new credit and interest rates. Contrary to existing findings, our results indicate that zombie firms pay higher interest rates and receive less new credit than healthy firms. The spillover effect of zombie firms on healthy firms' new credit is not significant. For interest rates, the spillover effect is even reversed: zombie existence significantly lowers healthy firms' interest rates. Zombie firms across the euro area are smaller, less profitable, and more leveraged with lower credit quality than healthy firms. Yet, they do not seem to pose significant negative externalities on the credit conditions of healthy firms. Novel loan-by-loan data from the European credit registry (AnaCredit) allows our analysis to be over a broad set of countries and firms, on a new level of granularity. This may explain the divergence of our findings from the existing literature.

Adapting to Brexit: the Response of Corporate Structures to Geopolitical Uncertainty with Meredith Crowley (Cambridge, CEPR), Mar Domenech-Palacios (ECB), Elisa Faraglia (Cambridge, CEPR), Chryssi Giannitsarou (Cambridge, CEPR).CEPR Discussion Paper

Geopolitical uncertainty alters the incentives of firms to organise their corporate structure across borders, creating a distinct margin of adjustment in response to policy risk. We study this margin using the Brexit referendum as a quasi-natural experiment. We combine firm-level data on parent-subsidiary links for UK and EU firms between 2011 and 2021 with measures of Brexit-related uncertainty and study changes in foreign subsidiary formation at the extensive margin. Following the referendum, there was an increase in the number of subsidiary formations from the UK into the EU, while the number of EU firms that expanded with subsidiaries into the UK dropped. UK firms establishing their first EU subsidiary after the referendum were systematically weaker ex ante than comparable firms that did so before the referendum. Increased Brexit-related uncertainty is associated with increased foreign subsidiary formation from the UK into the EU, driven primarily by small firms, alongside suggestive evidence of decreased domestic subsidiary incorporation by UK firms. We interpret these findings as evidence of a 'precautionary' foreign direct investment channel, operating through changes in the corporate structures of firms in response to geopolitical uncertainty.

Work in Progress

Are European Firms Financially Constrained? with Luis Brandao-Marques (IMF), Alexandra Fotiou (IMF), Richard Varghese (IMF). Featured in Staff Discussion Note joint with IMF Research Department. [Draft available upon request.]

We examine if European firms face binding financial constraints that explain Europe's persistent scale-up gap. Using corporate tax changes as exogenous shocks and a "debt test", we analyze 7 million predominantly private firms across 20 euro area countries (2000–2022). A higher corporate tax rate increases the value of interest deductibility and, absent frictions, induces firms to increase leverage. We find that firms generally increase leverage after tax hikes, indicating constraints are not broadly binding. However, young firms and those in innovation-intensive industries show weaker responses. Among innovative firms, constraints vary: young firms appear unconstrained, while small, mature ones face binding constraints. Our findings suggest that financing frictions concentrate among specific firm types at particular development stages, revealing that financing frictions in Europe are concentrated at the critical scale-up stage.

How Do CEOs Think the Economy Works? Evidence from Monetary Policy Expectations with Nicholas Bloom (Stanford University), Philip Bunn (BoE), Paul Mizen (King's College London), Gregory Thwaites (University of Nottingham) and Ivan Yotzov (BoE), using DMP firm-level survey data.
Bank Underground Blogpost [Draft forthcoming]

Relevant Positions

03/2026 – Present	**Bank of England**, PhD Research Intern (Part-time), London Monetary Analysis (SED). Contract extension to continue research project.
10/2025 – 01/2026	**Bank of England**, PhD Research Internship Programme (Full-time), London Monetary Analysis (SED). Research project using firm-level survey data from the Decision-Maker Panel (DMP) on *How Do CEOs Think the Economy Works? Evidence from Monetary Policy Expectations*
06/2025 – 09/2025	**International Monetary Fund**, Fund Internship Program, Washington D.C. European Department. Research project on *Are European Firms Financially Constrained?*
06/2023 – 06/2025	**University of Cambridge**, Faculty of Economics Research Assistant for Prof. M. Crowley, Prof. E. Faraglia, and Prof. C. Giannitsarou on *Adapting to Brexit: How British Firms Establish Footholds in the EU*
08/2022 – 07/2023	**Goldman Sachs International**, Global Investment Research, European Economics Analyst, London
01/2022 – 06/2022	**European Central Bank**, European Systemic Risk Board Secretariat, Frankfurt Data Scientist Trainee; Master's Thesis with AnaCredit loan-level data
06/2021 – 08/2021	**Goldman Sachs International**, Global Investment Research, European Economics Summer Intern, London
07/2019 – 09/2019	**DekaBank**, Intern, Macroeconomic Research Division, Frankfurt

Conferences and Seminars

2026	Empirical Monetary Economics Workshop, Paris *(forthcoming)*; 10th Emerging Scholars in Banking and Finance Conference, London *(forthcoming)*; Bank of England Brownbag Seminar; CEBRA Annual Conference, Copenhagen; BSE Summer Forum, Monetary Policy Workshop, Barcelona; North American Summer Meetings of the Econometric Society, Atlanta; IMF European Department Seminar, Washington D.C./virtual; Macro PhD Workshop, Faculty of Economics, Cambridge
2025	IMF Research Department Workshop, Washington D.C./virtual; BoE–QMUL–Kent–Bristol Workshop on Firm Dynamics, Market Structures and Productivity in the Macroeconomy, London; Kiel–CEPR Conference "Monetary Policy After the Inflation Surge", Berlin *(poster)*; Macro PhD Workshop, Faculty of Economics, Cambridge
2024	Macro PhD Workshop, Faculty of Economics, Cambridge; King's College Economics Alumni Conference, Cambridge

Teaching Experience and Professional Service

10/2025 – 06/2026	**Undergraduate Dissertation Supervisor**, University of Cambridge
10/2024 – Present	**Undergraduate Supervisor**, University of Cambridge, King's and Queens' College Part IIA Econometrics; Part IIA Macroeconomics / Monetary Economics
10/2024 – Present	**Faculty Representative** for Economics PhD Students, University of Cambridge
10/2024 – Present	**Mentor**, Economics PhD Applicant Mentoring Programme
09/2019 – Present	**Mentor and Director of German Team**, Project Access
12/2023	**Interviewer**, Undergraduate Economics Admissions, Christ's College, Cambridge

Awards and Honours

2023 – Present	Cambridge Trust and King's College Cambridge Scholarship
2017 – 2022	Foundation of German Business (sdw) Scholarship
2015 – 2018	"Studienkompass" Scholarship for First-Generation University Students (sdw)

Skills

Languages: German (Native), English (Fluent), French (Proficient), Spanish (Intermediate)
Software: Stata, Python, SQL, R, LaTeX, Orbis, Bloomberg, Haver, Refinitiv Datastream

References

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